Consideration

Understanding the exchange behind a promise

A seller promises to give you a watch. You offer nothing in return. Compare that with a seller who promises to supply the watch in exchange for your promise to pay £40. The second arrangement contains a bargain: each side gives something in return for the other's promise.

This guide introduces consideration in the law of England and Wales. It is written for university English students with no legal background. The main case is *Tweddle v Atkinson*; an important modern statutory qualification follows.

1 A legal meaning, not an everyday meaning

In everyday English, consideration can mean careful thought or kindness. In contract law, **consideration** means the legally recognised return given for a promise. Think of an exchange, rather than simply thinking about an offer.

An ordinary contract made without a deed is called a **simple contract**. It generally needs consideration, as well as agreement and an intention to create legal relations. A simple contract can be written or oral: "simple" does not mean unimportant.

2 What can be exchanged?

ARRANGEMENT	THE RETURN FOR THE PROMISE
Buying a phone	The buyer promises money; the seller promises the phone.
Cleaning a car	One person promises payment; the other promises the cleaning service.
A reward for finding a lost bag	The requested act of finding and returning the bag can supply consideration.

Consideration may consist of an act, a promise to act, or agreed **forbearance**: not exercising a right one could otherwise exercise. It is not limited to money or physical objects.

3 A promise can be enough before performance

For a phone sale with payment and delivery due tomorrow, the reciprocal promises can supply consideration today. The parties do not have to wait until money and goods physically change hands before a contract can exist.

The reward example works differently: the person claiming the reward can provide the requested performance rather than a promise in advance. A unilateral contract therefore does not require reciprocal promises; it still involves consideration.

Who Gives Consideration?

4 Promisor and promisee

TERM	PLAIN ENGLISH MEANING
Promisor	The person making the particular promise being examined.
Promisee	The person to whom that promise is made.
Consideration must move from the promisee	Under the ordinary rule, the person enforcing the promise must have supplied its agreed return.

These roles change with the promise you select. Suppose Lina promises Omar £15 for cleaning her car. For Lina's payment promise, Lina is the promisor and Omar is the promisee. Omar's agreed cleaning supplies the return for payment.

For Omar's promise to clean, Omar is the promisor and Lina is the promisee. Lina's payment promise supplies the return for his undertaking. Do not identify the promisee merely as "the buyer" or "the person making a promise".

5 "From" does not always mean "to"

Consideration must ordinarily come **from** the promisee, but it need not benefit the promisor personally. It can be supplied to another person at the promisor's request.

Example: Lina promises Omar £15 if he cleans her mother's car. Omar agrees. The service benefits Lina's mother, but Omar supplies it as the agreed return for Lina's payment promise. The destination of the benefit does not by itself defeat consideration.

6 Consideration and privity are different questions

Privity of contract is the traditional rule that contractual rights are generally enforced by the parties to the contract. A **third party** is someone outside that contract, even if the arrangement benefits them.

QUESTION	WHAT IT EXAMINES
Consideration	What legally recognised return supports the promise? Who supplied it?
Privity	Is the claimant a party, or does another recognised route permit enforcement?
Intention	Did the parties intend legal obligations rather than only a social understanding?

These requirements should not be collapsed into one. A serious intention to benefit someone does not automatically answer the consideration or third-party enforcement questions.

The next case illustrates the traditional difficulty. Page 3 then explains why its historical outcome is not a complete statement of today's law.

Tweddle: The Groom’s Claim Fails

Tweddle v Atkinson (1861) 1 B & S 393; 121 ER 762
Court of Queen’s Bench

7 The agreement and the claim

After a marriage, the fathers of the bride and groom made a written agreement: the bride’s father, William Guy, would pay the groom £200, and the groom’s father would pay him £100. The agreement expressly stated that the groom could sue for the money.

Guy did not pay. The groom, William Tweddle, brought his claim against Atkinson, the executor of Guy’s estate. An **executor** administers a deceased person’s estate; Atkinson was not the bride’s father.

8 The decision and its reason

Outcome: Tweddle’s claim failed; Atkinson won. The groom had supplied no consideration for the promise in the fathers’ agreement. The fathers’ exchange did not become consideration supplied by their son merely because he was the intended beneficiary.

The clause permitting him to sue did not overcome the common-law obstacle. The case illustrates both the promisee-consideration rule and the traditional problem of third-party enforcement. It does not establish that the fathers had no agreement at all.

9 The important modern qualification

The **Contracts (Rights of Third Parties) Act 1999** gives certain third parties their own right to enforce a contractual term. They need not provide their own consideration to use this statutory route.

Under section 1, a third party may enforce where the contract expressly permits it, or where the term purports to benefit them unless the contract properly interpreted shows that the parties did not intend third-party enforcement. The person must be expressly identified by name, class or description. Other statutory conditions and exceptions also apply.

Modern example: in an otherwise valid contract, two parents agree to pay a named student and expressly give that student a right to enforce the payment term under the Act. The student may have a statutory claim despite supplying no consideration personally.

This example shows how to analyse a similar arrangement today. The Act did not retrospectively change the outcome of the 1861 litigation, and it does not make every third-party benefit enforceable.

Limits, Vocabulary and Practice

10 Three distinctions to remember

A gift promise and a completed gift. “I will give you my watch next week”, with nothing agreed in return, is ordinarily unsupported by consideration. This does not mean that handing over a watch as a properly completed gift is legally impossible.

A simple contract and a deed. A **deed** is a formal legal instrument subject to special execution requirements. A promise made by a valid deed can bind without consideration. An ordinary signature does not by itself turn a document into a deed.

Sufficiency and adequacy. Consideration must qualify in law, but it need not be an equal or fair market price. A genuine bargain to sell a £40 watch for £1 is not automatically defeated by the price difference. Other grounds for challenging a transaction remain separate.

11 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Enforce a promise	Use a legal claim to obtain a remedy for non-performance.
Breach of contract	Failure to perform a contractual obligation.
Beneficiary	Someone intended to receive a benefit.
Forbearance	Agreed restraint from exercising a right.
Estate / executor	A deceased person’s property and liabilities / its administrator.

12 Check your understanding

1. Does consideration have to be money?
2. For Lina’s promise to pay Omar, who is the promisee?
3. Who won in *Tweddle v Atkinson*?
4. Must Omar clean Lina’s own car to supply consideration?
5. Can a third party sometimes enforce a term today?

Answers: 1. No: acts, promises and agreed forbearance can qualify. 2. Omar. 3. Atkinson; the groom’s claim failed. 4. No: the requested service can benefit Lina’s mother. 5. Yes, including under the 1999 Act where its conditions are satisfied.

Authorities: Tweddle (1861), original report extract; Dunlop v Selfridge [1915] AC 847, judgment (exchange and promisee rule); Chappell v Nestlé [1960] AC 87 (sufficiency); 1999 Act, s 1; 1989 Act, s 1 (deed formalities).

Based on the supplied *Consideration - Contract Law* lesson, with qualifications for accuracy. Examples are simplified for beginners.